

ORIGINAL

(S E R V E D)
(March 7, 2013)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1921(I)

**ADEBISI A. ADENARIWO
(Claimant),**

v.

**BDP INTERNATIONAL,
ZIM INTEGRATED SHIPPING, LTD.
AND ITS AGENT (LANSAL) ET AL.
(Respondents),**

DECISION

Decision of Tara E. Nielsen, Settlement Officer¹

Reparations Awarded from Respondent Zim in Amount of \$18,308.94, Plus Interest

On May 3, 2011, claimant Adebisi A. Adenariwo (Mr. Adenariwo or Claimant), a principal of MacBride Nig. Ltd. (MacBride), commenced Informal Docket No. 1921(I) by filing a complaint against BDP International, Inc. (BDP), Zim Integrated Shipping, Ltd. (Zim) and Zim's agent, Lansal. The complaint was procedurally consolidated with Informal Docket 1920(I), filed at the same time, as they involved substantially the same issues and parties.² On

¹ This decision will become final unless, within thirty (30) days from the date of service of this decision, the Commission elects to review it. 46 C.F.R. §502.304(g).

² Rule 148 of the Commission Rules of Practice and Procedure providing for consolidation does not apply to proceedings under subpart S or T. However, the Commission previously has allowed consolidation in proceedings under Subpart S and T, finding that such action is within its discretion when the proceedings share a common question of law or fact. See Informal Docket 1880(F) Clutch Auto Ltd v. International Touch Consolidator, Inc.,

May 26, 2011, BDP and Zim were served with the complaints and memorandum consolidating the proceedings. Lansal was not served and is not currently a party to the proceeding.

On April 18, 2012, I issued a Decision and Order³ in Informal Dockets 1920(I) and 1921(I), barring the claim in Informal Docket 1920(I) referencing container number ZCSU258371-4 because the claimant failed to file the claim within the Shipping Act's three year statute of limitations. The claimant was further ordered to supplement the record in Informal Docket 1921(I) to show that he is eligible to receive reparations under the Shipping Act by obtaining a valid assignment of claim. On May 8, 2012, Mr. Adenariwo filed both a Petition for Reconsideration in Informal Docket 1920(I) and an Assignment of Claim covering both Informal Dockets 1920(I) and 1921(I). The Petition for Reconsideration is denied in a separate decision issued concurrently with this decision.

I. BACKGROUND

Mr. Adenariwo is a principal of MacBride, a corporation in the business of producing concrete masonry products in Lagos, Nigeria. In 2008, MacBride purchased concrete products equipment from Nethamer Limited (Nethamer), located in Michigan, to be shipped to Nigeria. Nethamer was exporter of record on the shipment and BDP, a licensed freight forwarder, arranged the transportation for the equipment in two 40 foot containers. The equipment was transported by Zim, a vessel operating common carrier. Mr. Adenariwo alleges that the respondents BDP and Zim violated section 41102(c) of the Shipping Act of 1984,⁴ by failing to

MacAndrews and Co., Ltd., Rosmarine Shipping Private Ltd. and Hitos Liner Agency Private Ltd., and Informal Docket 1885(I), D&W Clutch and Brake v. International Touch Consolidator, Inc., MacAndrews and Co., Ltd., Rosmarine Shipping Private Ltd., Memorandum and Order Consolidating Proceedings served April 10, 2007.

³ On April 26, 2012, an Errata to the Decision and Order was issued correcting typographical errors. The errata did not change the holdings in the Decision and Order.

⁴ The Commission has commonly referred to provisions of the Shipping Act by their original section numbers which are well-known in the industry. See World Chance Logistics (Hong Kong), Ltd. And Yu, Chi Shing, a.k.a. Johnny Yu – Possible Violations of Section 10 of the Shipping Act of 1984, 31 S.R.R. 1054, 1054 (A.L.J. 2011). Section

observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.

The complaint alleges that container number ZCSU889833-9, the container at issue in this proceeding, was unreasonably held by Zim's agent Lansal on Zim's orders until it received payment for storage charges for a separate shipment at issue in Informal Docket 1920(I). On May 17, 2008, container number ZCSU889833-9, under Bill of Lading No. ZIMURF247677, arrived at Lagos.⁵ The clearing agent for MacBride in Nigeria, was unable to clear it because of demurrage charges outstanding on the previous separate container. On March 31, 2009, Lansal staff notified the parties that container number ZCSU889833-9 was auctioned by the Nigerian customs authority and was therefore out of Lansal's jurisdiction.⁶

Mr. Adenariwo seeks the statutory maximum under Subpart S of \$50,000 for "replacement of [his] lost equipment" in each filed informal docket. The current informal docket seeks reparations for shipment #2: container number ZCSU889833-9.⁷ Claimant's initial claim was facially deficient and he was granted an additional 60 days to perfect his claim and demonstrate his injury by obtaining a valid assignment from the consignee, MacBride. Mr. Adenariwo submitted an Assignment of Claim from MacBride on May 8, 2012. For the reasons discussed below, this assignment is deemed valid and Zim is found to have violated section 41102(c) of the Shipping Act. The claim against BDP is denied.

41102(c) refers to former Section 10(d)(1).

⁵ Respondent BDP's Exhibit 8.

⁶ Claimant's Supplemental Exhibit 9, e-mail "RE: Case updates-containers # ZCSU258371-4, ZCSU889833-9, dated March 31, 2009 at 11:50am.

⁷ The April 18, 2012 decision specified that Informal Docket No. 1920(I) sought reparations for shipment #1, container number ZCSU258371-4, and Informal Docket 1921(I) sought reparations for container number ZCSU889833-9.

II. DISCUSSION

A. Proper party to file a claim

The Shipping Act provides that “a person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part... If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” 46 U.S.C. 41301(a). A showing of injury is required only if the claimant seeks reparations. See Rohm & Haas Co. v. Italian Line, 21 S.R.R. 212, 215-216 (1981).⁸ Mr. Adenariwo alleges a Shipping Act violation and, as an individual, he has standing to bring a complaint. Claimants seeking reparations, however, must directly suffer an injury or meet a limited exception, such as obtaining an assignment of a claim from an injured party.

The injured party in this proceeding is MacBride, as consignee of the shipments and owner of the cargo, and not Mr. Adenariwo personally. MacBride is listed on various import documentation for the related shipments: the Certificate of Entry; Federal Republic of Nigeria Form M Application to Import; Union Bank of Nigeria’s Collection of Customs Duties Form; Customs Declaration; and Customs and Excise of Nigeria Payment Schedule. MacBride is also listed on Bills of Lading Nos. ZIMUORF245882 and ZIMUORF247677.⁹ The April 18, 2012 Order found that the evidence presented does not support Mr. Adenariwo’s position that, as

⁸ In Rohm, which refers to the current Shipping Act’s precursor, the Shipping Act, 1916, the Commission emphasized that section 22, which then read as ‘any person may file’, “clearly gives ‘any’ person standing to file a complaint alleging a violation of the Shipping Act, and asking reparation for the injury caused thereby.” Id. at 215. Although the language of the statute has been revised, the meaning and intent that permits broad filings of complaints has not changed.

⁹ Bills of Lading Nos. ZIMUORF245882 and ZIMUORF247677 issued for the shipments, show the consignee as “McBride General Ltd. Mr. Tony Denariwo” and “MacBride Nigeria Ltd., Mr. Tony Denariwo” respectively. Although the incorrect names are provided for MacBride on the first bill of lading and for Mr. Adenariwo on both, it indicates that the consignee is the corporation with Mr. Adenariwo as its named representative.

principal of MacBride, he is the injured party.¹⁰ Thus, the claims are MacBride's to make itself or to assign.

On May 8, 2012, Mr. Adenariwo submitted a written assignment of claim from MacBride. The assignment of claim contract was signed and notarized in Maryland. Zim challenges (1) that the assignment's language does not actually convey any actual rights; and (2) that the Claimant has not demonstrated that the assignment is valid under Nigerian law. These claims will be addressed in turn.

- 1) The assignment's language conveys its rights to causes of action under Informal Dockets 1920(I) and 1921(I) from MacBride to Mr. Adenariwo

Assignments of claim are permitted unless expressly forbidden by statute or clearly limited by agreement or waiver. 6A C.J.S. § 43. The Commission has indicated it favors permitting properly assigned claims. Rohm at 215-216. Such assignments do not need express formalities to be valid. In a Carriage of Goods by Sea Act (COGSA) action, the 5th Circuit Court of Appeals has found that, aside from statute, an assignor may informally make an assignment, stating:

A valid assignment may be made either orally or in writing. Restatement (Second) of Contracts § 324, at 37 (1981). Comment (a) of section 324 states that "aside from statute, the assignor of such a right may make an assignment by manifestation of intention without any particular formality." *Id.* One commentator states that "there is no required form in which an assignment for value must be made; all that is necessary is for the assignor so to express himself as to indicate an intention then and there to transfer his right to the assignee." 4 Arthur L. Corbin, *Corbin on Contracts*, § 879, at 528 (1951 & Supp.1991) (footnotes omitted). Thus, no formalities are required for an assignment to be valid.

U.S. v. Central Gulf Lines, Inc., 974 F.2d 621, 630 (C.A.5 La. 1992)¹¹

¹⁰ Mr. Adenariwo, supporting his position that he is the injured party, stated that he is a principal of MacBride, providing a copy of the Certificate of Incorporation and Articles of Association for MacBride Nigeria Ltd. with himself as owner and shareholder of the corporation.¹⁰ Mr. Adenariwo further asserted that "I was better able to explain the pain and injury that I suffered as a result of the violations of the shipping [sic] Act by BDP and Zim. Therefore, I am able to seek for reparation sustained by MacBride Nigeria Ltd."

¹¹ The Central Gulf Lines matter discusses a statute of limitation issue before it which, unlike the Commission, has

A valid assignment will demonstrate the intent of the conveyor to assign its rights.¹² The language of the assignment of claim should show what rights it is conveying to the assignee.

The assignment of claim by MacBride reads:

For the value of \$50,000.00 each, the undersigned hereby transfers to Mr. Adebisi Adenariwo any and all claims, demands, and cause or causes of action of any kind whatsoever which the undersigned has or may have arising from the case at the Federal Maritime Commission in Washington, DC, in the Informal Docket No. 1920(1) and Informal Docket No. 1921(1) between MacBride Nigerian Limited (The Claimant) Vs. BDP International, Zim Integrated Shipping, Ltd, and Its Agent (Lansal) et al. (The Defendants). The undersigned on its own name and for its own benefit settle and grant releases to the defendants, after the execution of this claim.

The language of the assignment shows that MacBride intended to assign all of its causes of action regarding the pending matter to Mr. Adenariwo. Zim's position that the assignment is void because "Macbride is not party to the aforementioned cases [Informal Dockets No. 1920(I) and 1921(I)], and the filing of a case before the Federal Maritime Commission cannot create a claim where none exists," is not persuasive to counter the clear intent expressed in the assignment of claim.

The assignment is fair and valid on its face. It transfers causes of action of any kind arising in the pending cases. In making the assignment, MacBride intended to allow Mr. Adenariwo to pursue any cause of action arising from the facts presented in the pending matters. Moreover, MacBride's assignment of claim possessed additional formalities that, although unnecessary, offer additional credibility to the assignment: it was made in writing, on MacBride letterhead, and notarized. It was signed and dated by Mr. Adenariwo in his capacity as CEO of MacBride.¹³ Thus, the assignment of claim is facially valid.

not permitted amendments. See Interconex v. F.M.C., 572 F.2d 27, 29 (2d Cir. 1978)

¹² See Gold'n Plump Poultry, Inc. v Simmons Engineering Co., 805 F.2d 1312, 1316 (8th Cir. 1986); 6A C.J.S. Assignments § 43 (1975).

¹³The dates on the assignment have two stenographic errors ("typos"). The first date on the top of the page indicates that it was made on May 8, 2008. The second date on the bottom reads "this 8th day of May, 20012." It was notarized on May 8, 2012. The typos do not invalidate the assignment of claim and I find that the notarized date of

- 2) The respondents have not met their burden to show the assignment of claim is invalid

Zim alleges that the claimant failed to demonstrate that the presented assignment is valid.

In addition to the language of the assignment, Zim questioned whether the assignment is valid under Nigeria law.¹⁴ These hypothetical questions are not supported with any legal or factual evidence other than MacBride's status as a Nigerian corporation. The law of the company's incorporation may serve as the choice of law for matters regarding issues pertaining to the corporation (such as shareholder rights), but it does not necessarily control what law controls contracts that it enters, such as this assignment. Other factors, such as a choice of law clause, or an analysis of the place of contracting, place of performance, and location of the contract's subject matter will also be considered. Ideal Electric Security Co. v. International Fidelity Insurance Co., 129 F.3d 143, 148 (D.C. Cir. 1997). Nevertheless, the respondents have not demonstrated that the assignment is invalid and, for the reasons previously provided, the assignment is deemed valid. Therefore, as Mr. Adenariwo has perfected his claims in this proceeding, I turn to the merits of the claims against the respondents.

B. Section 41102(c) claims

Mr. Adenariwo alleges that BDP and Zim each committed separate violations of section 41102(c) of the Shipping Act of 1984 by failing to observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering

May 8, 2012 is sufficient to demonstrate the execution date.

¹⁴ Zim questions the Claimant's failure to sua sponte provide information answering the following issues:

1. Is a corporation permitted to assign a claim to an individual under Nigerian law? 2. If so, is consideration required for a valid assignment? 3. If consideration is required, where is the proof that Claimant has paid the consideration referenced in the assignment? 4. If a Nigerian corporation is permitted to assign a claim, must the assignment be approved by the shareholders and/or Board of Directors? Does this assignment comply with the corporate formalities required under Nigerian law? 5. Does the assignment of a claim by a Nigerian corporation, apparently acting solely through its president, to that same individual, constitute a breach of fiduciary duty or a violation of any other provision of Nigerian law. Letter to Settlement Officer from Zim dated May 11, 2012.

property with respect to container number ZCSU889833-9. Claimant's allegations against each respondent are addressed below.

1) Claimant has not proven that BDP has violated section 41102(c) of the Shipping Act

The claimant alleges BDP violated section 41102(c) of the Shipping Act by failing to provide the documentation for container number ZCSU258371-4 to Zim in a timely manner. This allegation is made regarding issues with the first shipment which is the subject of Informal Docket 1920(I), which is time-barred by the Shipping Act's three year statute of limitations. The claim was dismissed in the April 18, 2012 Decision and Order. No evidence supports BDP's violating the Shipping Act with respect to container number ZCSU889833-9. As a result, the claim against BDP is denied.

2) The evidence supports that Zim has violated section 41102(c) of the Shipping Act

Mr. Adenariwo alleges that container number ZCSU889833-9, the container at issue in this proceeding, was unreasonably held by Zim's agent Lansal on Zim's orders until it received payment for storage charges for the separate shipment at issue in Informal Docket 1920(I). The order to hold the shipment is not contested. Zim acknowledges that Lansal, as its agent, refused to release container number ZCSU889833-9 because demurrage charges were outstanding on the earlier shipment, container number ZCSU258371-4. Ultimately, the outstanding storage charges remained unpaid and the shipment was disposed of in Nigeria by Nigerian customs authorities.

At issue is whether Zim's withholding the second shipment based on charges from a separate shipment is a violation of section 41102(c) of the Shipping Act. In defense, Zim points to the general lien clause in its bill of lading terms and conditions as permitting such action. The general lien clause, contained in Paragraph 20 of the terms and conditions, states:

20. Lien:

The Carrier, his servants or agents, shall have a lien on the goods or any part of thereof and right to sell such goods whether privately or by public auction for all freight (including additional freight payable as herein stipulated) primage, deadfreight, demurrage, detention, container demurrage, charges, salvage, average of any kind whatsoever, stamps, duties, fines or penalties, C.O.D. charges to be collected as per Merchant's request prior to the delivery of the goods, or of the Merchant, and for the costs and expenses of exercising such lien, and of such sale and also for all previously unsatisfied debts whatsoever due the Carrier, his servants or agents, by the Merchant. The lien hereby accorded may be exercised by the Carrier, his servants or agents notwithstanding that he or they may have parted with possession of the goods; and the Carrier, his servants or agents, shall at all times stand authorized by the Merchant to give all such notices to any person or persons for the time being in possession of the goods as may be required for the purpose of giving effect to the provisions of this Clause. Nothing in this Clause shall prevent the Carrier from recovering from the Merchant the difference between the amount due from them or any of them to him and the amount realized by the exercise of the rights given to the Carrier under this Clause.¹⁵

Zim asserts that its refusal to release shipment #2 was reasonable pursuant to its contractual rights under paragraph 20. It cites to Maersk-Sealand v. Eurocargo Express, LLC, 2004 AMC 1908 (C.D. Cal. 2004) in support. In that case, the court held that the carrier's general lien clause in its bill of lading terms was an enforceable contract and was permissible under the Carriage of Goods by Sea Act (COGSA), formerly codified at 46 U.S.C. § 1303(8)¹⁶, because such lien clauses do not interfere with damage awards against carriers. The Maersk decision, however, did not consider whether the holding of cargo pursuant to a general lien clause constitutes an unreasonable action that violates the Shipping Act.¹⁷

¹⁵ Zim's Exhibit #7.

¹⁶ COGSA has been subsequently recodified at 46 U.S.C. § 30701.

¹⁷ The Maersk decision only addressed the Shipping Act peripherally, finding that the Shipping Act did not provide guidance on what source of law to apply to its analysis of whether the agreement at question validly incorporated the general lien provision, stating:

Although Plaintiff urges that federal maritime law should apply, neither of the decisions it relies upon, *Great White Fleet (US) Ltd. v. DSCV Transp., Ltd.*, 2001 U.S. Dist. LEXIS 13254 (E.D.La. Aug. 22, 2001), and *Zim Isr. Navigation Co., Ltd. v. Indonesian Exports Dev. Corp.*, 1993 U.S. Dist. LEXIS 3513 (S.D.N.Y. Mar. 24, 1993), support its contention. Those cases merely apply, without discussion, federal maritime law to issues arising under the Shipping Act. In this case, the Shipping Act does not supply an answer. Maersk at 5.

A maritime lien is “a privileged claim upon maritime property... arising out of services rendered to or injuries caused by that property.” Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd., 31 S.R.R. 1831, 1844 (A.L.J. 2011), citing Hawkspere Shipping Co., Ltd. v. Intamex, S.A. 330 F.3d 225, 230 n.3 (4th Cir. 2003) (quoting 1 Thomas J. Schoenbaum, *Admiralty and Maritime Law* § 9-1 (3d ed. 2001)). “If a shipper refuses to pay the full freight, the carrier may lawfully withhold the cargo.” Id.

The Federal Bills of Lading Act (FLBA or Pomerene Act), 49 U.S.C. § 80109, governs bills of lading issued in the United States. It provides that a common carrier that issues a bill of lading has the right to assert a maritime lien for the goods listed in that specific bill of lading.¹⁸ Likewise, the Commission has stated that each bill of lading is a separate transaction under the Shipping Act “and the merits of each claim must be considered in toto and independent of claims under any other bill of lading.” Colgate Palmolive Co. v. The Grace Line, 14 S.R.R. 600, 602 (F.M.C. 1974).¹⁹

Maritime liens secure payment for cargo by withholding the bill of lading for the cargo until that payment has been made. Tienshan at 1844-1845. This principle was previously summarized in Bernard & Weldcraft Welding Equip. v. Supertrans Int’l Inc., by Judge Kline:

A carrier can withhold delivery of cargo to compel the shipper to pay freight money that is lawfully owed and has a cargo lien which the carrier can assert if necessary, which lien the carrier loses if it surrenders the cargo. *See Johnson Products Co., Inc. v. M/V Molinera*, 628 F.Supp. 1240, 1248 (S.D.N.Y. 1986); Gilmore and Black, *The Law of Admiralty* (2d ed.) sec. 3-45; 70 Am Jur 2d, Shipping, sec. 793. Conversely, if a shipper or consignee induces the carrier to surrender the cargo and thus lose its lien, and

¹⁸ The FBLA states:

a lien on the goods covered by the bill for--

(1) charges for storage, transportation, and delivery (including demurrage and terminal charges), and expenses necessary to preserve the goods or incidental to transporting the goods after the date of the bill; and

(2) other charges for which the bill expressly specifies a lien is claimed to the extent the charges are allowed by law and the agreement between the consignor and carrier.

49 U.S.C § 80109 (emphasis added).

¹⁹ The Commission made this statement in its review of the decision in Informal Docket No. 194(I).

thereafter refuses to pay the lawful freight money owed because the shipper or consignee has outstanding disputes with the carrier on earlier unrelated shipments, and withholds payment of the lawful freight as a means to coerce the carrier to settle the disputes on earlier unrelated shipments, the shipper or consignee has acted unlawfully, in violation of section 10(a)(1) of the 1984 Act. See *Waterman Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173 (I.D.), affirmed with slight modifications, 26 S.R.R. 1424 (1994). *Thus, disputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.*²⁰

The act of holding a shipment for an unrelated shipment's charges is an unreasonable practice under the Shipping Act. The law permits Zim, as a carrier, to exercise a valid maritime lien and hold a shipment based on charges that accrued on the bill of lading covering that specific shipment. However, Zim had a duty to deliver the shipment once that shipment's charges had been paid. Further, Zim knew or should have known that holding the cargo would cause damages to the shipper or consignee. Zim's position that its general lien clause permits such an unlawful holding is not persuasive. When Zim ordered that its agent hold container number ZCSU889833-9 when it would otherwise be released, it violated section 41102(c) of the Shipping Act. Thus, the next issue is whether the claimant is entitled to reparations.

III. Award of Reparations

Under Section 41305 of the Shipping Act,²¹ the Commission has the authority to award reparations for actual injury.²² The purpose of awarding damages is to restore the injured party to the position it was in before the violation of law or place the party in the same economic

²⁰ *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, 29 S.R.R. 1338, 1356 n.14 (A.L.J. 2003) (emphasis added), admin, final Feb. 12, 2003. See also *American Steel Barge Co. v. Chesapeake & O. Coal Agency Co.*, 115 F. 669, 672 (1st Cir. 1902) (a lien against cargo "cannot be applied ... beyond the amount of freight stipulated in the bill of lading"); *Finora Co., Inc. v. Amitie Shipping, Ltd.*, 852 F. Supp. 1298, 1307 (D.S.C. 1994) ("Under U.S. law, a shipowner's lien on sub-freights is limited to the amounts which may be due under the Voyage Charter.") (citing *American Steel Barge Co. v. Chesapeake & O. Coal Agency Co.*; *The Albert Dumois*, 54 F. 529, 530 (D.C.N.Y. 1893) ("By virtue of this provision the shipowner may enforce a lien upon the cargo for the freight stated in the respective bills of lading, but for no more.")).

²¹ 46 U.S.C. § 41305 is formerly codified as section 11g of the Shipping Act.

²² Reparations and damages are synonymous under the Shipping Act. *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, 31 S.R.R. 1831, 1846 n.11 (A.L.J. 2011), citing *Federal Maritime Comm'n v. South Carolina State Ports Auth.*, 535 U.S. 743, 775 (2002) (Breyer, J. dissenting).

position it would have been in had the injury not occurred. Brewer v. Maralan (aka Sam Bustani) and World Line Shipping, Inc., 28 S.R.R. 1331, 1336 (A.L.J. 2000), citing 22 Am Jur 2d. Damages, sec 26.

Finding a Shipping Act violation itself is not sufficient to award reparations. Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co. Inc., 26 S.R.R. 788, 797 (A.L.J. 1993). In determining damages for a violation, the Commission requires evidence of monetary injuries that have been proximately (directly) caused by the Shipping Act violation in question. Brewer v. B. Maralan (aka Sam Bustani) and World Line Shipping, Inc., 29 S.R.R. 6, 10 (F.M.C. 2001). A claim for reparations must be shown by “competent evidence and with reasonable certainty.” California Shipping Line, Inc. v. Yangming Marine Transp. Co., 25 S.R.R. 1213, 1230 (F.M.C. 1990).

Mr. Adenariwo, therefore, must show that MacBride is entitled to compensation as a result of Zim unlawfully holding its goods. The proximate cause of MacBride’s injury was Zim improperly ordering the container to be held: charges accrued on the shipment and MacBride was unable to obtain its goods. Due to Zim’s holding the shipment, additional charges accumulated on the container and the goods were ultimately auctioned by Nigerian customs authorities.

Mr. Adenariwo alleges that his losses each total \$240,606.00 for Informal Dockets 1920(I) and 1921(I), respectively, but that he was seeking the statutory maximum of \$50,000 in each claim (the maximum permitted by section 502.301(b) of the Commission’s Rules of Practice and Procedure governing Informal Dockets) to avoid a prolonged litigation. The damages claim for each container includes the following: the cost of the equipment (which has also factored in the freight charges and insurance paid); lost profits (opportunity cost of not

utilizing the construction equipment); administrative expenses (e.g. travel costs, registration fees, stationary); repeat transaction cost (described as the “cost of starting transaction all over again...” ; and a capital charge (described as “cost of capital on invested funds based on prevailing bank interest rate”[9.5%]).

The Commission applies the principle of mitigation in analyzing damages. Mitigation prevents a party from recovering damages for losses that it “could have reasonably avoided without an undue risk or burden, and is one applied by the Commission.” Rose International, Inc. v. Overseas Moving Network, 29 S.R.R. 119, 191 (F.M.C. 2001). Mitigation is required because “damages which the plaintiff might have avoided with reasonable effort ... are ... not caused by the defendant's wrong ... and, therefore, are not to be charged against him.” M. Golodetz Export Corp. v. S/S/ Lake Anja, 751 F.2d 1103, 1112 (1985) citing 2 *Williston on Contracts* § 1353 at 274 (1962). Failure by a plaintiff to mitigate its damages is an affirmative defense that the respondent must raise and the respondent bears the burden of proof. Shonac Corp. v. Maersk, Inc., 159 F.Supp.2d 1020, 1031 (S.D.Ohio 2001). Once pleaded, whether the actions required to mitigate the damages are reasonable is a question of fact. Howard University v. Lacy, 828 A.2d 733,739 (D.C. 2003).

Zim argues that MacBride failed to minimize its damages because it could have obtained release of the container by paying a small portion of its total claims. Zim points to the claimant’s own assertion that MacBride could have obtained release of the first container had it paid \$2,372.88 in demurrage on May 25, 2008.²³ At that time, however, it was not obvious that the issue would not be otherwise resolved without making such a demurrage payment. I find that later communications made the potential loss of goods clear to MacBride. As of August 21,

²³ E-mail “container #ZCSU258371-4, ZCSU 889833-9 LAST APPEAL FOR RELEASE” from Mr. Adenariwo to the respondents dated August 21, 2008 at 3:27pm.

2008, it was apparent to MacBride that the containers would not be released without payment for both containers. On August 21, 2008, Mr. Adenariwo stated:

As of the time of writing, the payment required for the release of both containers are N852,409.00 and N704,359.99 respectively (7,223.80 & 5,969.14 US Dollars). I came to Nigeria in the anticipation that this two containers will be released after BDP meeting with ZIM USAA. To say the least, I am somewhat disappointed that as of now, the container are not released without the demurrage [sic] charges. I am making the last pitch effort for both managements to reach a compromise in releasing this containers without any fault due or attributed from my end. I have run out of patience and by Monday 25th August if this matter is not resolved I will have no other option but legal means to run its course....

The payment required at that time was \$7,223.80 for container number ZCSU258371-4 and \$5,969.14 for container number ZCSU889833-9.²⁴ The August 21, 2008 e-mail indicates that Mr. Adenariwo sought release because the equipment still possessed value to MacBride at that time. Any additional damages potentially incurred at that time are speculative and not proven by the evidence presented.²⁵ Consequently, I find that MacBride could have mitigated its damages and obtained release of container number ZCSU889833-9 by paying \$13,192.94.

However, merely determining that the damages could have been mitigated is not enough to limit the award. The mitigation must have been reasonable under the circumstances. The question therefore is whether MacBride paying \$13,192.94 to obtain its goods rather than suffer greater damages is a reasonable action for the business to have taken at the time. I find it was reasonable in light of the facts presented.

According to MacBride's Statement of Loss submitted with its complaint, container number ZCSU889833-9 contained a Bescopac Hydraulic Unit valued at \$37,000.00 and paints

²⁴ Id.

²⁵ Claimant asserted that the machinery underwent a chemical process in preparation for shipping that would preserve the integrity of the equipment during transit and at destination that would last approximately 6 weeks. According to Mr. Adenariwo, the delay would have rendered the equipment difficult to restore to functionality that "would have become a worthless exercise to deal with and (or) this would have cost me more to remove the cement." Claimant's September 20, 2011 letter "RE: ADDITIONAL INFORMATIONS AND DOCUMENTS WITABOVE REFERENCED[SIC] CASES" on page 3. This was not supported with evidence.

valued at \$3,000.00. Further, the claimant alleges that it has suffered a loss of profits of \$300,000.00 from the total equipment (not broken out between Informal Dockets 1920(I) and 1921(I)). Claimant also alleges a loss as a result of a repeat transaction cost of \$12,731.00. Documentation submitted by Claimant demonstrates that the customs clearance on the container was prepaid.²⁶ Without determining if the alleged values proffered by the claimant are valid, it is reasonable that such significant claimed losses should, if possible, be minimized by paying the (relatively) small demurrage charges to obtain the goods.

In addition to the mitigated value of the loss, there is also the question of the transportation contract to resolve. When a shipper is wrongfully unable to secure delivery, transportation is not complete. Brewer at 9. "Such failure constitutes a failure of consideration and constitutes grounds for rescission of the transportation contract." Brewer at 1336. Zim's ocean freight and incidental charges totaled \$5,116.00 for container number ZCSU889833-9. Thus, the transportation contract is void and Zim is ordered to pay Mr. Adenariwo \$5,116.00 as a refund for the rescinded transportation contract.

Mr. Adenariwo makes an additional claim for punitive damages.²⁷ The Commission's authority to make reparation awards for "actual injury" rules out any "nominal" or "punitive" damages. Brewer at 1336. Thus, the claim for punitive damages is denied.

IV. CONCLUSION

The claim against BDP is not supported by evidence and is denied. Zim is found to have violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. §41102(c), and MacBride suffered actual injury as a result of that violation. MacBride successfully assigned its claims for

²⁶ On March 3, 2008, MacBride paid N1,000,000 to Metro TSA Cargo in Nigeria for various clearance services on container number ZCSU889833-9. Receipt No. 0007653, Claimant's Supplemental Exhibit 2.

²⁷ Claimant's September 20, 2011 letter "RE: ADDITIONAL INFORMATION AND DOCUMENTS WITABOVE REFERENCED[SIC] CASES."

its injuries to Mr. Adenariwo. It is therefore ordered that Zim pay Mr. Adenariwo reparations in the amount of **\$18,308.94 plus interest**, consisting of \$13,192.94 for damages incurred as a result of failure to release the cargo and \$5,116.00 for a refund on the contract.²⁸ Zim will receive notice of the amount to be paid as interest when the Commission issues its final action in this proceeding.



Tara E. Nielsen
Settlement Officer

²⁸ Pursuant to Rule 253 of the Commission's Rules of Practice and Procedure (46 C.F.R. §502.253), Claimant is entitled to compound interest on the monetary award from May 17, 2008.